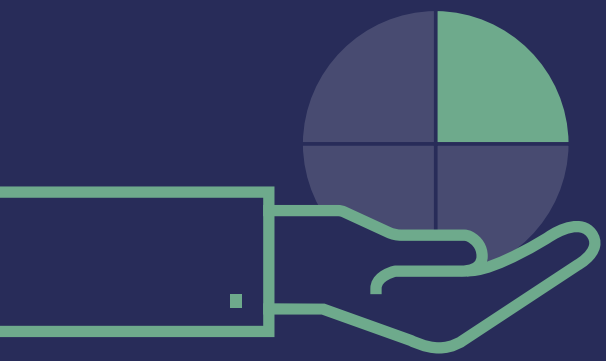
Q1 2021

Everything is within Reach

Quarterly Consolidated Report



Find out more at reachsubsea.no

REACH SUBSEA

1st Quarter 2021

About Reach Subsea

The Group's business concept is to offer subsea services as subcontractor and/or directly to end clients, based out of our head office in Haugesund. The core business of the Group is based on modern, high spec Work ROVs operated by highly qualified offshore personnel, and supported by our competent onshore engineering resources.

The Group's objective is to be a preferred subsea partner and full-service provider of subsea operations for clients, among others by having focus on safety, environment, financial solidity and profitability. Moderate risk contracts are targeted, thus securing revenue and strong liquidity in parallel with increasing the fleet, asset base and staff size.

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1st Quarter 2021

3rd Quarter Highlights

1. 1Q EBITDA before amortization of termination fee (see explanation under "Results") was NOK x million compared with NOK -x mill in 1Q2017.
2. Reach Subsea launched an increased focus on Investor Relation in February, including issuing monthly operating figures, a new dividend policy and the early implementation of IFRS 16 (see explanation in the Notes).
3. The Group maintains a strong liquidity and equity position (x. %), positioning the Group to further invest in innovative technology and subsea assets to leverage our platform for the expected future market recovery.
4. Tender activity remains high with outstanding tender value of around NOK x billion, compared with NOK x billion at the end of 1Q2017.
5. Reach Subsea opened an office in Houston at the beginning of 2018 with the objective of penetrating other markets, in particular the Gulf of Mexico and west Africa. The Houston office has already been awarded and successfully completed some projects in Trinidad.

Key figures UNAUDITED

(NOK 1000)	3Q 2020	3Q 2019	9M 2020	9M 2019	12M 2019
Revenues (NOKm)	201	153	497	401	509
EBITDA after termination fee (NOKm)	88	61	206	140	171
Pre-tax profit (NOKm)	33	4	5	6	-36
Liquidity (NOKm)	78	85	78	85	39
Net working capital (NOKm)	39	-4	39	-4	32
Net interest bearing debt, incl IFRS 16 leases (NOKm)	-16	129	-16	129	144
Equity (NOKm)	196	190	196	190	166
Order backlog (NOKm)		108		108	120
Outstanding tender value (NOKbn)		2,1		2	2,1
Number of ROV days sold	822	589	1 810	1 445	1 790
Number of ROV days available	838	1 004	2 483	2 800	3 638
Technical uptime on ROVs	99%	100%	99%	100%	100%
Number of offshore personnel days sold	5 166	3 421	13 237	9 169	10 992
LTIs	0	0	0	1	1
Number of vessel days sold	340	265	704	654	818

1st Quarter 2021

Operations

REACH had per quarter end 2018 twelve WROV-systems in operation in addition to “Surveyor Interceptor”, owned by a joint venture between Reach Subsea and MMT Sweden AB (MMT). During the first quarter 2018, the fleet has been increased by two WROVs, accomplished through charter-in agreements with limited risk exposure for Reach Subsea. In addition a second Surveyor ROV was delivered, “Surveyor II”, which will be ready for commercial work during 2Q 2018.

REACH offshore personnel contracting business, Connect Offshore, continued sourcing highly skilled offshore personnel during the first quarter. This personnel base is highly important in peak seasons, when the number of man hours in operation normally doubles compared to Reach Subsea’s own staff.

REACH has not had any serious incidents during the quarter, which support our objective that the right procedures, well trained personnel and high-quality equipment generate operational success.

Normand Reach is equipped with two Supporter WROVs and offshore personnel. Reach Subsea has a commitment to charter the vessel for180 consecutive days during 2018 and started the first project in March, a decommissioning project for AF Decom.

Edda Fonn, a purpose built ROV/Survey vessel equipped with one Supporter WROV and survey equipment, is on a flexible charter agreement from Østensjø lasting throughout the year. The vessel is utilized for Reach Subsea’s own offshore operations in the cooperation with MMT. Edda Fonn had some spot market activity in January, followed by a planned docking in February. In March the vessel spread performed an oil & gas project for an international oil company.

Viking Neptun was chartered under a Walk to Work contract between Eidesvik and Awden from October 2017 until April 2018. Reach Subsea has one Supporter WROV and one Constructor WROV and delivers all ROV-services onboard the construction vessel, a contract lasting throughout 2018. The contract between Eidesvik and Awden does not include WROV services, leaving the WROVs onboard idle in the quarter.

Stril Explorer is a survey vessel on a charter contract from Møkster to Reach Subsea’s cooperation partner MMT. Reach Subsea provided ROV services consisting of one Supporter WROV and offshore personnel to the vessel in the first quarter of 2018. Projects performed by the Stril Explorer spread are to a large extent ROV/Survey work handled as a cooperation between Reach Subsea and MMT. The “Surveyor Interceptor” is currently mobilized onboard Stril Explorer and had high utilisation in the first quarter working on a survey contract with MMT/Nordstream.

Havila Subsea is equipped with two chartered-in WROVs and offshore personnel from Reach Subsea’s offshore pool. Havila Subsea started the year with a spot market fixture, followed by a two months project for Statoil in the oil and gas sector.

Olympic Delta is equipped with two chartered-in WROVs and offshore personnel from Reach Subsea’s offshore pool. The vessel is on a contract between cooperation partner MMT and owner Olympic Shipping and is scheduled for projects under a cooperation agreement between Reach Subsea and MMT. The vessel spent the full quarter on a contract with Allseas in the Black Sea.

Olympic Challenger was mobilised in March, equipped with two chartered-in WROVs and offshore personnel from Reach Subsea’s offshore pool. The vessel is on a contract between Reach Subsea and owner Olympic Shipping and is scheduled for projects by Reach Subsea and the cooperation between Reach Subsea and MMT.

Tidewater Enabler was chartered in for a project with Shell in Trinidad in March. The project was run from Reach Subsea’s Houston office.

Normand Vision was chartered in for a short term project for NOV in March.

REACH has per 22nd May 2018 a firm order book of NOK xx million, with the vast majority related to work in xx.

1st Quarter 2021

Quarterly Results

First quarter 2018 EBITDA before amortization of termination fee was NOK x million (NOK x million for 1Q2017) with a net loss of NOK x million (NOK x million loss for 1Q2017). The improved EBITDA result compared with last year is to a large extent explained by the implementation of IFRS 16 as explained in the Notes. In addition, one project generated a solid profit. Lower utilisation on equipment as both Viking Neptun and Normand Reach had low ROV-activityduring the quarter had a negative effect.

Revenue for the quarter was NOK xx million compared with NOK 86 million for 1Q2017. The increase compared with the same quarter last year is due to one project generating a large turnover as well as a higher number of subsea spreads.

Operating expense for the quarter was NOK xx million including depreciation and amortization of termination fee. Project-related expense represents the majority of the operating expense for the group. Total operating expense for 1Q2017 was NOK xx million. An expected increase in operating expenses related to the same project mentioned above, as well as a higher number of subsea spreads, is reduced by the effect of implementation of IFRS 16 as explained in details in the Notes.

Having a market regulated cost base has been essential in obtaining new contracts for the vessels during the quarter.

The rental cost for the two WROVs onboard Olympic Delta occurs as operating expense (included in EBITDA), in contrast to the cost for the existing owned/ financially leased WROVs occurring in the accounts mainly as depreciation and interest expense.

For 1Q2018, Oil & Gas revenues constituted x % while Renewable/Other constituted x % of total revenues. By comparison, for 1Q2017 Oil & Gas revenues were x % while Renewable/Other constituted x % of total revenues. Oil & Gas entails revenues from survey, IMR and light construction projects where the end client is an oil & gas company. Renewable/Other entails revenues from survey, IMR and light construction projects where the end client is a non-oil & gas company (typically a company in the renewable energy sector).

[1]EBITDA before amortization of termination fee recognizes the effect of renegotiated vessel charter rates for Edda Fonn and Normand Reach. As part of the restructuring of charter commitments in June 2016 a termination fee of NOK 76 million was paid to Østensjø and Solstad. The termination fee has been capitalized and will be amortized over the rest of the charter party periods. This termination fee occurs as an amortized pre-payment in the operating cost, although it has no cash effect. EBITDA will during the amortization period be split in two; before and after amortization of termination fee.

1st Quarter 2021

Capital structure

Total current assets at the end of the year were NOK x million (NOK x million in 1Q2017), of which cash and cash equivalents amounted to NOK x million (NOK x million). Receivables were NOK x million (NOK x million) and short-term portion of termination fee, that will be amortized over the next year (non-cash effect), is NOK x million (NOK x million). Total non-interest bearing current liabilities were NOK x million (NOK x million), leaving a net working capital of NOK x million (NOK x million)

As part of the restructuring of charter commitments a termination fee of NOK 76 million to Østensjø and Solstad was paid out in 2Q2016. The termination fee has been capitalized and is amortized over the rest of the charter party periods. As per quarter end remaining capitalized termination fee amounts to NOK x million (NOK x million) of which NOK x million (NOK x million) is classified as a long-term receivable with the remaining NOK x million (NOK x million) classified as a current receivable.

Net cash flow from operating activities for the first quarter 2018 was NOK x million. The increase is explained by the reduced outstanding receivables compared to 3Q2017 following the normal seasonality of the business. The net cash flow from operating activities for the full year 2017 was positive with NOK 19.0 million. Furthermore, the capital increase of NOK 85.9 million in 1Q2017 contributed to a strong liquidity position at the end of the year.

Cash flow from investing activities was NOK x million in 2018, which is mainly related to the two new subsea spreads mobilized during the quarter. AVVENTER ENDELIGE TALL MED LÅNEUTBETALINGEN/LÅN PÅ DE TO ROV-ene/ IFRS FØR VI KAN LAGE FORKLARINGEN HER.

The Group's equity as of 31st March 2018 is NOK x million, which represents x % of the total balance sheet. REACH has no major debt maturities or capital expenditure commitments for 2018 and onwards.

The Share

REACH Subsea ASA is listed on the Oslo Stock Exchange. The Company has per 31.03.18 issued 143 239 525 shares, of which the majority is owned by Norwegian shareholders.

Reach Subsea essentially follows the recommendation for reporting of IR-information issued by the Oslo Stock Exchange's and publish all the news releases on www.newsweb.no, a service provided by the Oslo Stock Exchange.

News after quarter end

Reach Subsea has been awarded a Frame Agreement for Inspection, Maintenance and Repair (IMR) services to Statoil Petroleum. The frame agreement has a duration of 5 years, and commences in 2019. Commercial terms under the agreement are confidential between the parties. However, the frame agreement is call-off based, which means that Statoil can award contracts for IMR services in the North Sea on an as needed basis.

Jostein Alendal says: "We are proud to be awarded the IMR Frame Agreement with Statoil, which is of significant strategic importance and improves visibility for our service offerings for the next 5 years. This award is a testament to the track record we have built over the past few years, combining a relentless focus on the highest quality in our operations, and strict cost discipline. Honours to Reach's greatest asset - our people - for contributing to building a track record that formed the basis for this milestone in our history."

REACH has further entered into short- and medium-term contracts for the vessels for the first half 2018. The order book figure of NOK 95 million take these contracts into account. See further details under «Vessel Update» and «Outlook».

1st Quarter 2021

Vessel update

Edda Fonn:

Stril Explorer:

Viking Neptun:

Normand Reach:

Havila Subsea:

Olympic Delta:.

Olympic Challenger:

Tidewater Enabler:

Investor relations

Starting in 2018, REACH is taking measures to improve the content and frequency of information to its investors. Our quarterly financial reports now include further financial details than before, aimed at improving the transparency of our business. Monthly operating statistics are being released and are also enclosed in the quarterly reports.

IFRS 16 Leases is a new accounting standard that is mandatory from 1 January 2019 (see Notes for further details). However, REACH has early implemented the standard with effect from 1 January 2018, which means that the 1Q2018 report is using the new standard. The new standard has a positive effect on EBITDA, but a fairly neutral effect on profit before tax.

1st Quarter 2021

Outlook

REACH's strategy is to be a full-service provider within subsea service. The Group's management and board have extensive and long experience in the segment.

REACH currently markets and operates eight subsea spreads (vessel, ROVs, and personnel) alone or together with partners, of which six entails spreads where Reach Subsea has little or no vessel commitment (co-operation agreement with shipowner, or "pay as you earn" charter structures). The remaining spreads, Normand Reach, has a fixed charter commitment of 180 days in 2018, of which half is covered by a contract entered into with BP UK for a project on the Mungo field in UK sector. Further, Reach has a commitment for the vessel for100 days in 2019, at a rate level that gives the company a competitive cost base. Olympic Challenger, has some charter commitment xxx.

The combination of a lean and agile organization, and the attractive cost structure of our subsea spreads, gives Reach a flexible and competitive cost base tailored to cope with continued weak markets. Given Reach Subsea's strong operational track record and high utilisation of vessels and assets compared to our competitors, we are well positioned for profitable growth.

The subsea industry is still characterised by oversupply of tonnage and equipment, resulting in a market with tough competition and pressured rate levels. There are some signs of improved visibility in terms of a generally higher tender activity, and the gradual occurrence of some longer-term tenders.

With the recent award of the 5 year IMR contract from Statoil and the survey frame contract from Statoil to MMT/ Reach the expectation is that there will be better visibility of future projects. Combined with the fact that Reach alone or in corporation with MMT now control a majority of the vessels that operate within our market segments, we expect higher utilization on the spreads in the years to come.

With a strong balance sheet, coupled with a flexible business model, the company aim to exploit attractive growth opportunities we currently see in the market.

Haugesund, 22.05.2018

Kåre Johannes Lie	**Anders Onarheim**	**Sverre B. Mikkelsen**
Chairman of the Board	Vice-Chairman of the Board	Board member
Merete Haugli	**Martha Kold Bakkevig**	**Jostein Alendal**
Board member	Board member	Managing Director

Contact: Jostein Alendal (CFO) Birgitte Wendelbo Johansen (CEO)

Sustainability

Reach Subsea strives to be an industry leading subsea operator with sustainability based on a long term goal to have zero harm to personnel, environment and equipment. Reach Subseaæ's priorities within sustainability are defined based on an evaluation of stakeholders expectations and interests.

Our assessment of material topics and key targets for 2021 can be found in full in our Sustainability report for 2020, which can be found on the company's webpage. Our sustainability performance for Q1 are summarized below:

Environment

Increase activity within non-Oil&Gas segment to 50%

Achieved

Activity within non-Oil&Gas segment was 53% percent of total activity during Q1. Activity is measured through performed project days during the quarter. The activity is driven by major survey projects in the offshore wind sector.

Increase use of remote operations

Achieved

REACH has performed remote operations in Q1 on Havila Subsea, with good results.

Reduce CO2 emissions compared to activity levels

Achieved

In Q1 our total CO2 emission per sold vessel day was 34,14 tonner CO2 equivalents, compared to 37,19 in 2020. The reduction of 8% is mainly due to less transit activity during the quarter.

Invest in Unmanned Surface Vessels

Ongoing

REACH is currently performing a study related to Reach Remote. A final investment decision is expected in Q2 2021.

Zero major spills of hazardous materials to the sea

Achieved

0 major spills during the quarter. Reach continues to focus on use of environmentally friendly highly degradable hydraulic oils in our ROVs.

Participate in Ocean Cleanup campaign

Ongoing

Reach has not participated in a Ocean Cleanup during Q1, however we still plan on performing such a campaign during the year.

Sustainability

Employees

Maintain turnover below 8 %

Achieved

There have been no material turnover during the quarter

Work related sick leave at low level (less than 1.0%)

Achieved

There have been no work related sick leave during the quarter.

Further develop REACH-ED with new e-learnings

Ongoing

We are currently planning on expanding REACH-ED system. As of Q1 no new e-learnings are implemented.

Increase percentage of female employees in offshore employment categories

Achieved

REACH has hired new offshore trainees during Q1, whereof one is female.

Zero work related injuries

Achieved

No work related injuries occured in Q1.

Implement campaign with focus on mental and physical health

Ongoing

The HSEQ campaign 'Well-being & Mental Health' was implemented in Q2.

Responsible business

Maintain customer satisfaction score at 4 and higher

Achieved

During the quarter our registered customer satisfaction score is 4,83.

Develop REACH-ED to include e-training for suppliers

Achieved

REACH-ED now includes e-training for suppliers. All suppliers working on REACH offshore projects have to perform the elearning 'Working on a Reach Subsea Vessel'.

Maintain technical uptime at 99 % or higher

Not achieved

Technical uptime during the quarter was 98 %, compared to 99 % in 2020. The reduction is mainly caused by breakdown on one of our ROVs.

The Vessel Fleet



Viking Neptun

State of the art, high capacity subsea construction vessel, prepared for flexible, cable installation and heavy lifting.

D400 Te AHC Main Crane and 100 Te AHC Auxiliary Crane
Removable bulwark
ICE 1B and DEICE notation
4.400 Te Carousel, 3000 Te Moonpool
Helideck for Sikorsky S92
Optimized stability and capacity for VLS (SWL 600 Te)
Anti-heeling system (3 pumps each 2.200 m^3/h)
2600 m^2 steel deck
1x Kystdesign supporter WROV and 1x constructor WROV



Havila Harmony

Cost effective IMR, survey and light construction vessel with long track record in the business.

150T AHC Main Crane
Removable bulwark on each side
Moonpool in hangar, 650 m^2 deck
Dual ROV hangar
Permanent full survey suite
Large office facilities
Helideck 26 m diameter
2x Schilling WROVs



Havila Subsea

Cost effective IMR, survey and light construction vessel with long track record in the business.

150T AHC Main Crane
Removable bulwark on each side
Moonpool in hangar, 650 m^2 deck
Dual ROV hangar
Permanent full survey suite
Large office facilities
Helideck 26 m diameter
2x Schilling WROVs

The Vessel Fleet



Topaz Tiamat

Multi-purpose ROV support vessel, designed specially to serve the offshore subsea market.

D400 Te AHC Main Crane and 100 Te AHC Auxiliary Crane
ICE 1B and DEICE notation
4.400 Te Carousel, 3000 Te Moonpool
Helideck for Sikorsky S92
Optimized stability and capacity for VLS (SWL 600 Te)
Anti-heeling system (3 pumps each 2.200 m^3/h)
2600 m^2 steel deck
1x Kystdesign supporter WROV and 1x constructor WROV



Stril Explorer

Multi-purpose support vessel, designed to be a cost-effective, flexible platform for subsea & offshore.

DP II
ROV hangar for 1 WROV systems
1 Surveyor ROV system
50 t offshore crane
Large Office and accommodation facilities
70 berths
450 m2 deck
1x Kystdesign supporter WROV and 1x Surveyor Interceptor



Olympic Challenger

Light Construction / ROV Support Vessel designed with focus on good sea keeping abilities and excellent station keeping performances.

250 Te AHC Main Crane
Moonpool
1000 m2 deck
Dual WROV hangar
Permanent full survey suite
Large office facilities

Featured Project

Sabella SAS

Vessel

Olympic Challenger

Client

Sabella SAS

End Client

XX

Period

October 2019

Water Depth

XX



Installation of a horizontal axis tidal turbine

In October the Olympic Challenger was contracted to Sabella SAS for installation of a horizontal axis tidal turbine 2km South-East off the coast of Ushant Island, France. The tidal turbine has a rated capacity of 1MW and the nacelle is moored to the seabed using a gravity base structure. Power is brought to shore via a jumper cable. The turbine was deployed by the vessel crane and guided into position by the WROV's onboard. The ROVs also performed pre-/post survey, preparatory work and electrical hook-up of the turbine. Dry weight of the turbine is 107 tons and requires a capable subsea construction vessel for such a complex lifting operation.

500
IMR days

As a result of subsea field development, subsea facilities require Inspection, Maintenance and Repair (IMR).

As a 'subsea janitor', work under water includes to observe and report the technical integrity status of subsea facilities, early detection of faults, followed by adjustments and potential repair, due to wear and tear or accidental impacts. The IMR activities arise from a planned inspection and maintenance scheme authored by the field operator, and can both include initiatives to improve the production, or on the opposite, engage activities to terminate production.



IMR is one of Reach Subsea's core business segments, and our vessel fleet includes specially equipped vessels for this purpose, typically Havila Subsea and Topaz Tiamat. Both vessels have sufficient deck load capacity, offshore crane and 2 work class ROV's in addition to a high-accuracy subsea positioning system and the offshore project team, together defined as 'the Vessel Spread'.

Reach Subsea holds several IMR Frame Agreements with BP, BHP, Shell, Wintershall Dea and Equinor, for the supply of Subsea IMR Services internationally and on the Norwegian Continental Shelf.



The work awarded, often consists of smaller work tasks on various subsea facilities, bundled into campaigns to ensure high utilization of the Vessel Spread.

IMR work require detailed engineering and planning, not only to ensure the correct method and tool is mobilized for the right subsea task, but also to ensure efficient logistics and quality of subcontractor services.

Reach Subsea utilize 3D vessel models and digital planning tools in addition to extensive practical experience, when planning IMR campaigns on behalf of our Clients.

Efficiency in operations is highly dependent on the experience of the operator and the offshore project team. Over the years, Reach Subsea have attracted both graduates and experienced personnel, merging a valuable combination of new technology and experience when solving the subsea puzzle of various challenges.

Detailed task plans are required, subject to Safe Job Analysis and verification by the Client to ensure all considerations have been taken into account.

An IMR campaign typically include an offshore project team managed by an Offshore Manager, supported by Shift Supervisors, work class ROV teams and a deck crew. The Vessel's back deck is furnished with the subsea tools and equipment, sea fastened and positioned according to engeered calculations and plans. In addition to the standard instrumentation, the ROV's are typically equipped with hydraulic or electric torque tool to allow for operation of valves. The subsea positioning systems require digital maps of the specific subsea fields, to allow for correct positioning of vessel and ROV.

Reach Subsea have successfully performed 500 IMR days, and we are proud to say this has been accomplished without any major accidents or incidents. We believe our HSE culture is a result of experience and learning from the past, and as we move forward – our dedication to perform safe & efficient IMR operations will remain unaltered.

Income statement UNAUDITED



Statement of profit or loss (NOK 1000)	3Q 2020	3Q 2019	9M 2020	9M 2019	12M 2019	NOTES
Operating revenue	198 805	153 855	488 534	400 712	508 337	
Other income/losses	2 566	-1 103	8 734	194	194	11
Revenue	**201 370**	**152 752**	**497 267**	**400 906**	**508 531**	
Procurement expenses	-55 743	-46 844	-142 421	-149 298	-184 140	
Personnel expenses	-30 767	-25 660	-80 802	-66 516	-90 552	
Other operating expenses	-26 947	-18 923	-67 665	-44 964	-62 433	
EBITDA	**87 914**	**61 325**	**206 380**	**140 128**	**171 406**	
Depreciation	-63 790	-53 467	-162 479	-137 579	-187 728	3,11
Impairment	-	-	-7 505	-	-	3,11
Operating result (EBIT)	**24 124**	**7 859**	**36 397**	**2 549**	**-16 322**	
Interest income	45	178	233	548	680	
Interest expenses	-1 224	-2 647	-6 683	-8 995	-11 452	11
Other net financial items	8 794	-789	-464	-3 053	-5 200	
Result from associated companies	1 484	-448	-554	-1 916	-3 391	
Profit (loss) before taxes	**33 221**	**4 151**	**28 927**	**-10 868**	**-35 685**	
Taxes	-	-24	-	-24	-24	8
Profit (loss)	**33 221**	**4 127**	**28 927**	**-10 891**	**-35 709**	
Comprehensive income						
Translation differences	120	-71	1 008	-645	-699	
Gain/loss on financial derivatives of cash flow hedges	-	-	-		-	
Comprehensive income items	**120**	**-71**	**1 008**	**-645**	**-699**	
Total comprehensive income	**33 342**	**4 056**	**29 936**	**-11 537**	**-36 408**	
Earnings per share	0,23	0,03	0,21	-0,08	-0,25	
Diluted earnings per share	0,23	0,03	0,21	-0,08	-0,25	

Balance Sheet UNAUDITED



Statement of financial position (NOK 1000)	2020 30/09	2019 30/09	2019 31/12	NOTES
Non-current assets				
Deferred tax assets	8 161	8 161	8 161	8
Investment in joint ventures	20 730	22 760	21 285	
Property, plant and equipment	112 265	291 668	247 802	3, 11
Total non-current assets	**141 157**	**322 590**	**277 247**	
Current assets				
Bunkers	3 128	6 589	6 696	
Trade receivables	118 769	66 289	59 154	
Other receivables	46 506	40 279	63 624	
Cash and cash equivalents	78 166	84 907	38 657	
Total current assets	246 570	198 063	168 131	
Total assets	**387 727**	**520 653**	**445 378**	
Equity				
Share capital	143 546	143 546	143 546	6
Share premium	105 025	105 801	105 025	
Other equity	-52 481	-58 907	-82 740	7
Total equity	**196 090**	**190 440**	**165 831**	
Non-current liabilities				
Interest-bearing debt to credit institutions	15 814	29 073	25 216	4, 11
Interest-bearing debt, other (related to IFRS 16)	0	68 060	58 784	4, 11
Total non-current liabilities	**15 814**	**97 133**	**83 999**	
Current liabilities				
Interest-bearing debt to credit institutions, short term	13 704	16 573	16 023	4, 11
Interest-bearing debt, other (related to IFRS 16), short term	32 591	99 781	82 497	4, 11
Trade payables	81 360	63 632	53 984	
Other current liabilities	48 169	53 094	43 045	
Total current liabilities	**175 823**	**233 080**	**195 548**	
Total liabilities	**191 636**	**330 213**	**279 548**	
Total equity and liabilities	**387 727**	**520 653**	**445 378**	

Cashflow UNAUDITED



Statement of cash flow (NOK 1000)	3Q 2020	3Q 2019	9M 2020	9M 2019	12M 2019	NOTES
Cash flow from operating activities						
Operating result (EBIT)	24 124	7 857	36 397	2 549	-16 322	
Paid taxes	-	-524	-	-524	-524	
Gain/loss on disposed assets	-2 566	1 103	-8 734	-194	-194	
Depreciation and amortisation	63 790	53 467	162 479	137 579	187 728	
Impairment	-	-	7 505	-	0	
Change in trade debtors	10 235	48 538	-59 615	106 782	113 917	
Change in trade creditors	-2 628	-17 199	27 376	-21 620	-31 268	
Change in other provisions	-4 896	-7 904	32 247	-30 071	-63 345	
Share option cost employees	108	149	324	776	1 035	
Net cash flow from operating activities	**88 167**	**85 488**	**197 978**	**195 277**	**191 026**	
Cash flow from investing activities						
Sale of fixed assets	-	1 794	-	6 794	6 794	
Purchase of fixed assets	-680	-	-2 118	-33 908	-33 908	
Net cash flow from investing activities	**-680**	**1 794**	**-2 118**	**-27 114**	**-27 114**	
Cash flow from financing activities						
Net interest paid	-236	-395	-2 394	-1 113	-1 726	
Payment of dividends	-	-	-	-10 048	-10 048	
Drawdown on overdraft bank facility	-	-	-	-	0	
Repayment of borrowings and leases	-66 729	-54 416	-153 149	-135 654	-177 231	
Net cash flow from financing activities	**-66 965**	**-54 811**	**-155 543**	**-146 815**	**-189 005**	
Net change in cash and cash equivalents	20 522	32 471	40 317	21 348	-25 093	
Cash and cash equivalents in the start of the period	57 339	51 410	38 657	63 277	63 277	
Translation differences	306	1 026	-807	282	473	
Cash and cash equivalents in the end of the period	**78 166**	**84 907**	**78 166**	**84 907**	**38 657**	

Equity UNAUDITED



(NOK 1000)	Share capital and share premium	Other equity	Total equity	NOTES
Equity 01.01.2020	248 571	-82 740	165 831	
IFRS 2 Option based salary	-	324	324	7
Translation difference	-	1 008	1 008	
Dividends paid	-	-	-	
Result for the period	-	28 927	28 927	
Equity 30.09.2020	248 571	-52 481	196 090	

Notes



Note 1 - Basis for preparation

These consolidated interim financial statements have been prepared in accordance with IAS 34, Interim Financial Reporting. The interim financial statements are unaudited, and do not include all of the information required for the full financial statements, and should be read in conjunction with the consolidated yearly financial statement. The yearly financial statement are audited. Consolidated interims- and yearly financial statements are available on the news services from Oslo Stock Exchange (www.newsweb.no) or the company's webpage (www.reachsubsea.com).

Note 2 - Significant accounting principles

The accounting principles used in the preparation of these financial statements are consistent with those used in the annual financial statements. These consolidated condensed financial statements should be read in conjunction with the annual financial statements, which include a full description of the Group's accounting principles.

Note 3 - Fixed assets

(NOK 1000)	ROV and ROV equipment	Right of use asset ROV, leased from financial institutions	Right of use asset Vessel and other equipment	Equipment and office machinery	Total
Purchase cost 01.01.20	141 086	115 884	328 578	18 884	604 431
Additions	2 118	-	109 776	-	111 895
Disposals/adjusted commitment	-9 951	-	-183 397	-6 800	-200 149
Purchase cost 30.09.20	133 253	115 884	254 957	12 084	516 177
Accumulated depreciation 30.09.20	-77 607	-88 465	-219 736	-10 600	-396 409
Accumulated impairment 30.09.20	-	-	-7 505	-	-7 505
Net book value 30.09.20	55 646	27 419	27 716	1 484	112 265
Depreciation in the period	-14 112	-9 888	-136 737	-1 742	-162 479
Impairment in the period	,	-	-7 505	,	-7 505
Expected useful life (years)	3-8	3-8	1-3	3	
Depreciation plan	Linear	Linear	Linear	Linear	

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Note 3 - Fixed assets

Summary

Impairment indicators such as COVID-19 market effects and declined oil price has been identified and impairment testing has been performed in accordance with IAS 36. In addition, due to cancellation of Topaz Tiamat charter agreement in the quarter, impairment testing has been performed in 3Q for assets directly related to the vessel. An impairment of NOK 7,5 million has been recognised during 2020.

Discount rate

The discount rate is based on the Weighted Cost of Capital (WACC) pre tax for the Group. The discount rate is 9,0 %.

Revenue assumptions

The revenue assumption in the cash flow forecast is based on a combination of utilisation for assets and selling price. Utilisation is based on firm contractual days on a short to medium term and estimated future selling on a medium to longer term. Forecasted utilisation on a longer term is based on historical data, as well as managements expectations of market development. Forecasted selling rates are based on historical data. No inflation adjustments have been made to revenue assumptions.

Right-of use-assets - vessels:

The right-of-use assets at 30 September 2020 represents the remaining committed vessel days on charter agreements with vessel owners. The impairment testing in 2Q 2020 resulted in an impairment of NOK 7,5 million. No additional impairment in 3Q 2020. The recoverable amount is sensitive to estimated utilisation and selling rate assumptions. Se note 11 for further information on Right-of-use assets.

ROV and ROV equipment:

Impairment testing has been performed on each ROVs CGU, i.e. both owned and leased ROVs. The recoverable amount is based on estimated future cash flows, which is based on estimated selling price, budgeted maintenance cost and utilization. The impairment testing demonstrated that the assets recoverable amount is larger than book value, and as such no impairment charge is required.. The recoverable amount is based on estimated future cash flow for the CGU, and is sensitive to estimated utilisation and selling rate assumptions. Due to cancellation of charter agreement for Topaz Tiamat and Havila Harmony, booked assets related to mobilisation of the two vessels have been derecognised in the balance sheet. The derecognition has resulted in recognised gain on the disposal of the right-of-use asset according to IFRS 16. A sensitivity analysis show the following sensitivity in the impairment testing, including both Right-of-use assets, ROV and ROV equipment:

Drop in estimated revenue	Impairment charge (NOK 1000)
10%	3 271
20%	9 809
30%	20 373

An increase of the WACC of 2 percentage points will not result in any impairment charge.

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Note 4 - Borrowings

(NOK 1000)	30/09/2020	31/12/2019
Non-current liabilities		
Bank borrowings	8 750	12 500
Lease liabilities to credit institutions	7 064	12 716
Other non-current lease liabilities (IFRS 16)	0	58 784
Total non-current borrowings	15 814	83 999
Current borrowings		
Bank borrowings	5 000	5 000
Lease liabilities to credit institutions	8 704	11 023
Other current lease liabilities (IFRS 16)	32 591	82 497
Total current borrowings	46 295	98 520
Carrying amount		
Bank borrowings	13 750	17 500
Finance lease liabilities	48 358	165 019
Total carrying amount	62 157	182 568
Fair value		
Bank borrowings	13 750	17 500
Finance lease liabilities	48 358	165 019
Total fair value	62 157	182 568

At 30.09.20 bank borrowings are secured on fixed assets for the value of NOK 91,0 million (31.12.19: 114,7 million).

Note 5 - Transactions with related parties

The company has undertaken various transactions with related parties consisting of consultancy services. All transactions are carried out as part of the normal course of business and the deal is carried out on commercial terms in accordance with the Companies Act § § 3-8 and 3-9.

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Note 6 - Shareholders

20 largest shareholders as per 09.11.2020:

	Shares	Stake
NORTH ENERGY ASA	46126567	32,1 %
VERDIPAPIRFONDET EIKA NORGE	10285650	7,2 %
JOSO INVEST AS	7564589	5,3 %
HOLME HOLDING AS	5800000	4,0 %
JT INVEST AS	5529539	3,9 %
NORMAND DRIFT AS	5000000	3,5 %
DANSKE INVEST NORGE VEKST	2820462	2,0 %
STAVA INVEST AS	2298751	1,6 %
CORUNA AS	2250000	1,6 %
FREEMAN SHIPPING & OFFSHORE AS	2064478	1,4 %
RMS INVEST AS	2000000	1,4 %
LION INVEST AS	2000000	1,4 %
TEOMAR AS	2000000	1,4 %
A-Å INVEST AS	1938725	1,4 %
SMS INVESTERING AS	1652366	1,2 %
NÆRINGSLIVETS HOVEDORGANISASJON	1635991	1,1 %
MEYERLØKKA AS	1605000	1,1 %
BARRUS CAPITAL AS	1510090	1,1 %
TEM INVEST AS	1250000	0,9 %
CASTEL AS	1248517	0,9 %
Total 20 largest	106 580 725	74,2 %
Others	36 965 283	25,8 %
Total	143 546 008	100,0 %

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Note 7 - Share-based remuneration

Board of directors of Reach Subsea ASA has approved a stock option scheme to further align the interests of the participating employees in Reach Subsea with those of the shareholders. The stock option scheme was finalised with a signed agreement between the company and Management and certain key employees 23.03.2018. Management and certain key employees of the Reach Subsea-group have been granted the right to acquire up to a certain maximum number of shares in the Company at a fixed strike price ("the Option"). The strike price is divided into two levels, equal to the subscription price in the two last private placements conducted by the Company (May 2016 NOK 2.00 and January 2017 1.75). The options can be exercised over a period of three years. The options are non-tradable and conditional upon the participant being employed by the Reach Subsea-group at the vesting date. The stock option plan constitutes a maximum of 3.886.875 options equivalent to a similar number of Reach Subsea ASA shares, whereof 306.483 shares were exercised in 2018 and 2 023.405 shares expired in 2018-2019. As of 3Q2020 the Company has recognized NOK 324 thousand in cost related to the options.

Note 8 - Tax

The Group has, based on contracts and budgets for 2020 and 2021, assumed that parts of the tax loss carried forward can be recognised. Per 30.09.2020 NOK 8,2 million is capitalised.

Note 9 - Events after quarter end

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Note 10 - Segments

(NOK 1000)	2020 01.07.-30.09	2019 01.07.-30.09	2020 01.01.-30.09	2019 01.01.-30.09	2019 01.01.-31.12
Revenue					
Oil & Gas	137 370	142 518	410 267	331 561	472 943
Renewable / other	64 000	10 234	87 000	69 345	35 588
Total	201 370	152 752	497 267	400 906	508 531
Operating expense					
Oil & Gas	-120 914	-135 188	-380 239	-329 454	-488 122
Renewable / other	-56 333	-9 707	-80 632	-68 904	-36 731
Total	-177 247	-144 894	-460 871	-398 357	-524 853
Operating result					
Oil & Gas	16 457	7 331	30 029	2 108	-15 180
Renewable / other	7 667	526	6 368	441	-1 142
Total	24 124	7 859	36 397	2 549	-16 322
EBITDA					
Oil & Gas	59 973	57 216	170 272	115 890	159 410
Renewable / other	27 941	4 108	36 107	24 238	11 996
Total	87 914	61 325	206 380	140 128	171 406

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Note 11 - Leasing

Short term leases (committed lease term 12 month or less) of vessels are capitalized as right-of-use assets and depreciated. The impact is that all cost in relation to leases of vessels are presented as depreciation and interest expense. As of 3Q2020, Right-of-use assets consist of contractual commitments and estimated use in the contract period. Pay as you go contracts at the balance sheet date, with no contractual commitment, are not capitalised. The following have been recognised in 2020:

Right-of-use assets	30/09/2020	31/12/2019
Property, plant and equipment	27 716	133 203
Total	27 716	133 203

Lease liabilities	30/09/2020	31/12/2019
Current	32 591	82 497
Non current	-	58 784
Total	32 591	141 281

See note 4 for further information on the Company's borrowings.

	Q3 2020	Q3 2019	9M 2020	9M 2019	12M 2019
Depreciation charge of right-of use assets	55 608	44 864	136 737	113 478	155 090
Impairment charge of right-of-use assets	-	-	7 505	-	-
Interest expense	943	1 469	4 057	7 334	9 046
Total charges to the P&L	56 551	46 333	148 299	120 812	164 136

The total cash outflow for leases in 3Q2020 was NOK 62,5 million (Q32019: 50,5 million).

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Note 11 - Leasing

Reconciliation of leases on committed days recognised in 2020:	Right-of use assets	Lease liability, non-current	Lease liability, current
Opening balance 01.01.2020	133 203	58 784	82 497
Additions	62 721	-	62 721
Disposals	-	-	-
Depreciation	-89 681	-	-
Impairment	-7 505	-	-
Interests	-	-	4 057
Reclassification from long to short term	-	-58 784	58 784
Adjusted commitment	-71 021	-	-86 841
Currency adjustment	-	-	5 746
Payments	-	-	-94 372
Ending balance 30.09.2020	27 716	-	32 591

The right-of-use assets at the beginning for the period were calculated based on a discounted estimated commitment on the following vessels; Olympic Challenger, Havila Harmony and Topaz Tiamat. The vessel Havila Subsea as well as other short term hired in vessels are treated as short term leases under IFRS 16 and are also recognised as depreciations. The adjusted commitment on Havila Harmony and Topaz Tiamat during the year has resulted in a derecognition of right-of-use assets of NOK 71 million and lease liability of NOK 86,8 million. The derecognition has resulted in a gain of NOK 8,7 million in the year. Derecognition of other assets related to the two vessels has been included in the calculated gain. Due to adjusted commitment, Havila Harmony has been treated as a short term vessel lease during Q3 20. For presentation purposes, the previous recorded effects related to derecognition of the Havila Harmony right-of-use asset has been reclassified in the Q3 financial report. The following table shows the above mentioned reclassification

Reconciliation of depreciation (-gain/+loss)	6M 2020	6M 2020 reclassified
Other income/losses	-	-6 168
Depreciation (reduction)	-8 813	-
Impairment	2 644	-
Total depreciation	-6 168	-6 168

Reconciliation of depreciation	Q3 2020	Q3 2019	9M 2020	9M 2019	12M 2019
Depreciation of long term right-of-use assets	28 120	30 113	89 681	74 621	104 734
Depreciation of short term right-of-use assets	27 488	14 751	47 056	38 857	50 356
Depreciation of other assets	8 182	8 604	25 742	24 101	32 618
Total depreciation	63 790	53 467	162 479	137 579	187 728

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